Both. As the specialist you provide liquidity. You also have an inherent advantage in trading because you see the order book.

When you fill an order, how do you lay off the risk?

If I was a seller of calls, I would buy futures against it. I would keep the book close to delta neutral.

So you were essentially making the bid/ask spread and laying off the risk.

Yes, but as a specialist, you also have to anticipate. If the market is strong, and you know you will have call buyers all day, you buy futures ahead of that. In other words, you anticipate your hedge needs and adjust your delta. That process was part of developing a feel for the market, which I never had in all those years of just knocking around.

How did you develop that feel?

I started paying attention to the intermarket price relationships. For example, if the S&P was moving in an inverse lockstep to the bonds, and bonds were down for the day, but the S&P was not responding on the upside, it would tell me I should sell the S&P. It's funny, now, crude and the S&P are moving up and down together. That is something new. Before, we never even looked at crude.

[One of the firm's employees comes into the conference room to discuss a position with Benedict. Benedict gives him some instructions and then continues our conversation.]

Sorry about that. I traded so badly today.

What did you do wrong today?

I trade a lot of mean reversion. One of the things I do is three days up, three days down. If the market is up three days in a row, I want to start getting short, and if it's down three days in a row, I want to start getting long. The euro sold off during the past few days, and I started going long. The position will probably be okay, but it was down a number that was as much as I was willing to lose, so I covered most of it.

Do you know where you will get out before you get in?